// FROM COMPONENTS TO RESILIENT AUTOMATION INFRASTRUCTURE

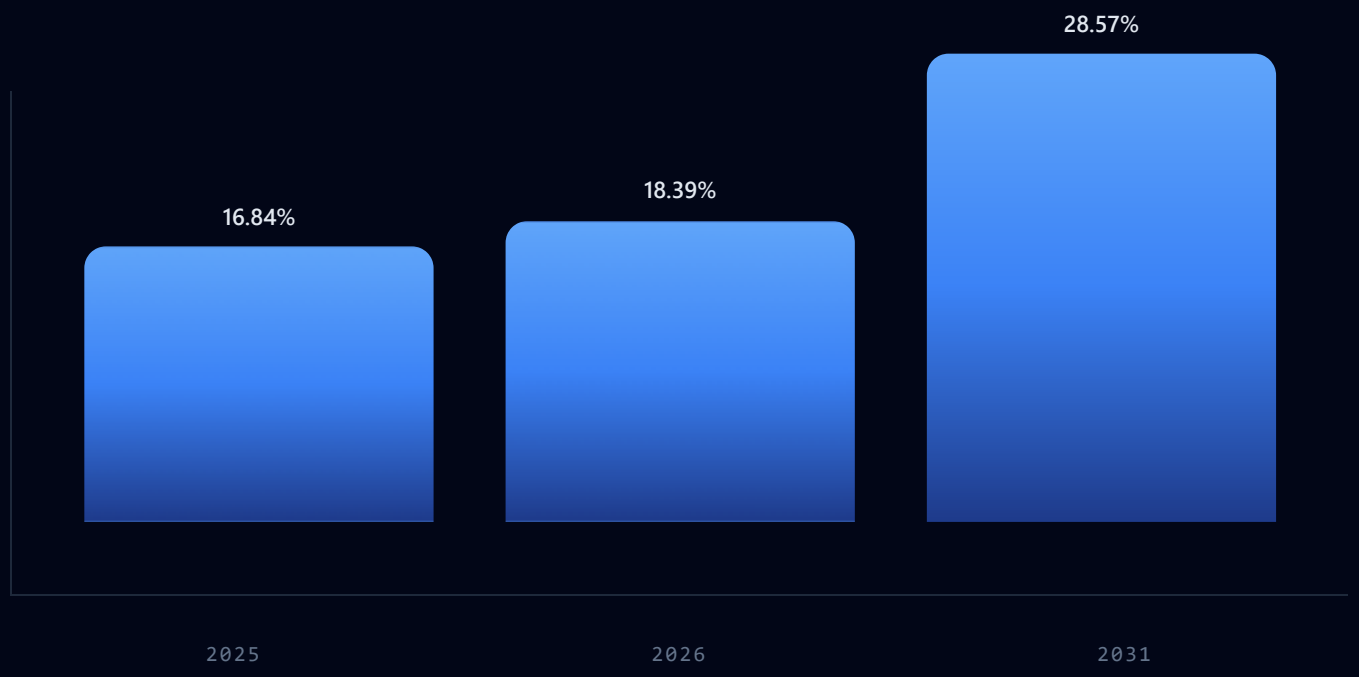
PHOENIX CONTACT IN JAPAN 2026

> *Japan's 2026 demand is shifting toward automation, secure connectivity, data-center resilience, and energy-stable infrastructure.*

JAPAN FACTORY AUTOMATION & INDUSTRIAL CONTROLS MARKET, 2026	2031 FORECAST	2026-2031 CAGR
18.39 USD billion	28.57 USD billion	9.21%

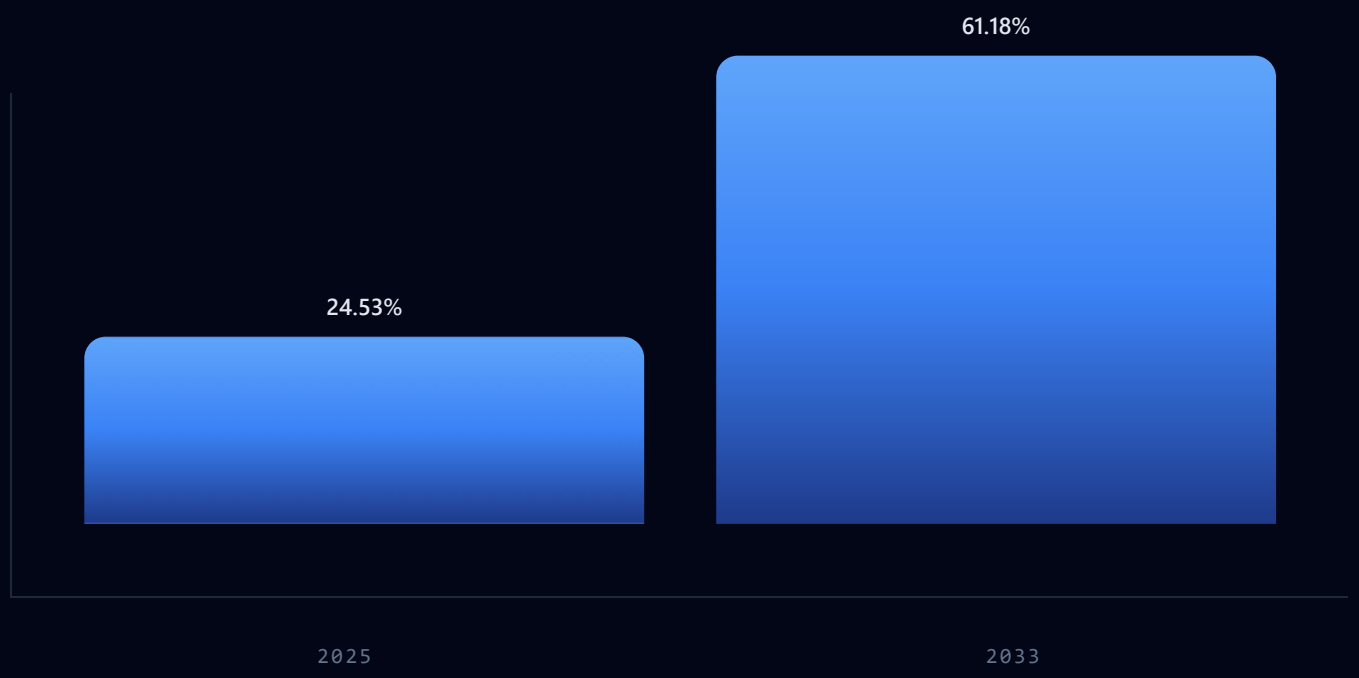
JAPAN AUTOMATION TAILWINDS ARE QUANTIFIABLE

Factory automation spending is expanding from 2026 onward



CONTROL-SYSTEM MODERNIZATION IS THE FASTER LAYER

Japan industrial automation and control systems are forecast at 12.1% CAGR



// STRATEGIC_TRANSFORMATION

HARDWARE REMAINS THE BASE; SERVICES ARE THE UPSIDE

> *Japan automation revenue is still hardware-heavy, but services grow faster*

HARDWARE SHARE	SERVICES CAGR
58.12%	10.41%

STRATEGIC_EXECUTION_MATRIX

01 Hardware represented 58.12% of 2025 revenue.

02 Services are forecast to grow at 10.41% CAGR through 2031.

03 SME segment shows strong growth potential at 10.68% CAGR.

// STRATEGIC_TRANSFORMATION

PLC, MES, AND EDGE: THE FACTORY DATA STACK OPPORTUNITY

> *Connecting field devices to digital production systems*

PLC SOLUTIONS SHARE	MES CAGR
36.35%	*9.95%*

STRATEGIC_EXECUTION_MATRIX

01 Field Level: Sensors, I/O, Terminal blocks, Connectors

02 Control Level: PLCnext, Controllers, Industrial PCs

03 Network Level: Managed switches, PoE, Industrial Ethernet

04 Operations Level: SCADA, MES, Edge analytics

// STRATEGIC_TRANSFORMATION

INDUSTRIAL CONNECTIVITY: DURABLE CATEGORY, APAC-LED DEMAND

> *Market expansion led by Asia-Pacific growth*

APAC REVENUE SHARE	GLOBAL CAGR
44.5%+	3.5%

STRATEGIC_EXECUTION_MATRIX

01 Industrial connectors projected to grow to USD 11.65B by 2035.

02 APAC accounts for over 44.5% of 2025 revenue.

03 Circular connector segment remains a dominant share at 31.5%.

// STRATEGIC_TRANSFORMATION

DATA CENTERS: A VISIBLE 2026 JAPAN GROWTH VECTOR

> *Targeting redundancy and secure operations*

EVENT DATE

March 2026

SOLUTION AREAS

Power, Cyber, Network

STRATEGIC_EXECUTION_MATRIX

01 Focus on Data Center Japan 2026 Exhibition (Booth 2A-09).

02 Key solutions: Power Supply, UPS, and Surge protection.

03 Targeting secure networking and mission-critical reliability.

// STRATEGIC_TRANSFORMATION

CYBERSECURE INDUSTRIAL NETWORKING BECOMES CORE

> *Cybersecurity is now part of OT infrastructure procurement*

STANDARD
IEC 62443

FOCUS FAMILY
FL MGUARD

STRATEGIC_EXECUTION_MATRIX

01 CRA compliance and IEC 62443 standard compatibility.

02 FL MGUARD security product family as a central pillar.

03 Integration of secure industrial switches (Unmanaged, PoE, Managed).

// STRATEGIC_TRANSFORMATION

PHOENIX CONTACT GLOBAL CONTEXT: RECOVERY AND LOCALIZATION

> *Global investment supports Japan-market credibility*

FY2025 TURNOVER
EUR 3.3B

LOGISTICS TARGET
2028 Completion

STRATEGIC_EXECUTION_MATRIX

01 Expected FY2025 turnover of EUR 3.3B with recovery trends.

02 Expansion of Vietnam site and Blomberg logistics (200,000 m3).

03 Localization efforts ensuring supply continuity for Japanese customers.

"Despite all the challenges, we are convinced that technology is the key to a sustainable future."

ULRICH LEIDECKER

CHIEF OPERATING OFFICER, PHOENIX CONTACT // STRATEGIC

STRATEGIC IMPLICATIONS FOR PHOENIX CONTACT JAPAN

- >> Prioritize: Data-center redundancy and semiconductor automation bundles.
- >> Scale: SME automation kits and connector replacement programs.
- >> Maintain: Standalone terminal block and power supply sales.
- >> Monitor: AI-native control use cases and new compliance demands.

HIGHEST MARKET CAGR

12.1%

SOLUTION PLAYS

5 bundles

STRATEGIC SUMMARY COMPLETE